depositors took time. Deepak recalls that for the first ten years of their operations that trust was slow in coming. People only wanted money from them and did not trust them with their savings.

The government recognized the role played by HDFC by providing it with a special tax status granted to other financial institutions whereby it could transfer 40 percent of its profit before tax to a special reserve fund. Also, in the Finance Bill of 1980, the government agreed to HDFC's representation and exempted income from deposits with HDFC upto ₹3,000 under Section 80L of the Income Tax Act and the corresponding provision for Wealth Tax exemption of ₹1, 50,000.

By the fourth year of operation, HDFC had grown rapidly with loan approvals totaling ₹44 crores. In order to fulfill its developmental role and supplement the government's regional development strategy, HDFC promoted a subsidiary company, HDFC Developers Limited, to undertake housing projects on a selected basis in various regions of the country. Its first project was at Pimpri-Chinchwad, followed by a residential and office complex in Vashi, Navi Mumbai. But HDFC was told by the RBI that they could either be a finance company or in construction—it could not be both. So HDFC Developers became more or less defunct, only building HDFC's own offices. Deepak rues this fact saying that they could not take up mass housing projects (for 1000–2000 homes), something which would have automatically brought lending business to HDFC and provided affordable housing to the people.[26]

In 1980–81 HDFC negotiated a US $30 million guarantee from the United States Agency for International Development (USAID) under its Housing Guarantee Programme, and during the year signed an implementation agreement with USAID for borrowing of US $20 million in the US capital market. HDFC also worked out an arrangement with the Army Welfare Housing Organization whereby it deposited funds with HDFC through the Army Insurance Fund and HDFC provided housing loans of a multiple of these deposits to all categories of defence personnel. Five years after it started business, HDFC was operating from nine branch offices in the country and had financed 53,000 families involving loan approvals of over ₹170 crores for a housing investment of ₹400 crores. HDFC had been able to raise resources from three different sources—namely households, through deposits; institutions, through long-term loans;